THE SESSION · POST-CLOSE READ

The Interconnect *Bid*

A weekend supply-chain note on AI networking pulled capital back into interconnect and semiconductor equipment, and the defensive complex funded the trade. Growth Portfolio added 0.52%; Dividend Strategy gave back 0.92%.

S&P 500 ▼ 0.50% · NASDAQ ▼ 0.31% · DOW ▼ 0.51% · VIX 15.17 · BRENT ▲ $91

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

−0.92% 1-DAY

FCI	−0.92%
DVY	−0.74%
SPY	−0.47%

YTD **+22.68%** vs DVY +18.21% · SPY +13.90%

GROWTH PORTFOLIO

▲ BEAT IUSG

+0.52% 1-DAY

FCI	+0.52%
IUSG	−0.34%

YTD **+21.69%** vs IUSG +15.55%

THE SESSION

Monday closed narrow at the index level and wide underneath it. The S&P 500 finished 0.50% lower at 7,746.97, the Nasdaq Composite eased 0.31% and the Dow gave back 0.51% — moves small enough to read as a quiet start to the week. The composition was not quiet. A Mizuho supply-chain note circulated Sunday pointed to a stronger VR200 ramp and framed it as constructive for optical and copper interconnect, and the AI networking complex responded on the open: CRDO added 8.82% and MRVL 5.54%. What funded that bid came out of the defensive block, where CHD fell 3.28%, ADP 2.53%, SYK 2.22% and CL 1.88% — precisely the ballast the Dividend Strategy carries. The sleeve closed −0.92% against DVY at −0.74% and SPY at −0.47%. Growth Portfolio closed +0.52% against IUSG at −0.34%.

Brent settled 2.47% higher at $90.71 as the interim U.S.–Iran ceasefire reached its formal expiry with the Hormuz negotiations still unresolved — the supply premium the morning framework flagged, carried intact into the close. CVX gained 1.35% and OKE 0.37%. The power-adjacent trade extended the same reasoning: CAT rose 2.95% on Power & Energy backlog tied to data-center generation demand, and the bitcoin miners moved on the value of their electricity assets rather than on the coin, with MARA up 5.60% and HUT 3.04% against a bitcoin price that barely shifted. FCX added 2.92% and AEM 1.23%, keeping the hard-asset complex in the leadership column alongside the chips.

> *A rotation is the market repricing which end of a chain it wants to pay for today. It is not a verdict on the chain.*

The dispersion is the useful signal. Both sleeves hold assets levered to the same physical build-out — turbines, wafer equipment, interconnect, copper, generation capacity — and Monday simply chose one end of it.

Nothing in the session changed the cash flows behind either book. The calendar does more work this week than the tape did today: July industrial production Tuesday, the July 28–29 FOMC minutes Wednesday, and a consumer read from Home Depot, Target, Lowe's and Walmart across Tuesday through Thursday. Year to date the Dividend Strategy stands at +22.68% and the Growth Portfolio at +21.69%, both ahead of their benchmarks — a spread accumulated over eight months, not in one session.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

CRDO +8.82% — GROWTH
Weekend supply-chain work pointing to a stronger VR200 ramp lifted the optical and copper interconnect complex; Credo sits directly in that path.

MARA +5.60% — GROWTH
Miners traded on the value of their power assets to AI data centers rather than on bitcoin, which held near $63,400.

MRVL +5.54% — GROWTH
Same interconnect read, plus concentrated institutional positioning disclosed in August 14 filings, two weeks ahead of the fiscal Q2 report.

LRCX +3.45% — DIVIDEND
Semiconductor equipment extended its bid on a multi-year R&D lab expansion and continued upward revisions to wafer fab equipment estimates.

CAT +2.95% — DIVIDEND
Power & Energy backlog tied to data-center generation demand continues to carry the industrial story.

DECLINERS

NOW −5.08% — GROWTH
Enterprise software multiple compression continued on downward consensus revisions; no company-specific release.

CHD −3.28% — DIVIDEND
Household products gave back part of a crowded defensive trade as capital rotated toward cyclicals.

FTNT −2.60% — GROWTH
Security software drifted with the broader software de-rating despite unrelated strength in networking hardware.

ADP −2.53% — DIVIDEND
Payroll processing traded with the defensive complex rather than on anything company-specific.

LMT −2.46% — DIVIDEND
Defense eased alongside GD at −1.19% with no new program news on the tape.

HOLDINGS NEWS

ServiceNow gave back 5.08% on no company release. Enterprise software has been de-rating through 2026 on multiple compression, downward consensus EPS revisions, and an unresolved question about whether agentic AI erodes per-seat licensing economics. NOW closed at $117.70. The position rests on workflow entrenchment and backlog conversion rather than near-term multiple support; Monday tested price, not that thesis.

Marvell reports fiscal Q2 on August 27. Monday's 5.54% advance came ahead of the print, on the weekend channel work and on 13F disclosures filed August 14 showing concentrated institutional positioning across the interconnect layer rather than the GPU vendors. The move raises the bar into the quarter. We would rather read the datacom commentary than the headline number.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY	GROWTH PORTFOLIO
+22.68%	+21.69%
vs DVY +18.21% / SPY +13.90%	vs IUSG +15.55%